

LEADERSHIP: WHAT MAKES A GREAT LEADER?

The science, the myths, and the real qualities that drive people and organisations forward • Week 6 • Level B

Over the course of this week, we have explored how employment is changing, how creativity and soft skills shape success, and how businesses are built, disrupted, and transformed. Running through all of these themes is a single, unavoidable question: who leads? Every business, every team, every organisation — no matter how flat its structure or how collaborative its culture — requires someone to set the direction, make the difficult decisions, and take responsibility when things go wrong. Leadership is not simply a job title. It is a set of behaviours, values, and capacities that can make the difference between an organisation that thrives and one that fails.

And yet, despite centuries of study and billions of dollars spent on leadership development programmes worldwide, there is still no **consensus** on what great leadership actually looks like. The characteristics that made a successful military general in the nineteenth century bear little resemblance to those required of a technology CEO in the twenty-first. Context matters enormously. Culture matters. The nature of the challenge matters. What remains constant, however, is the fundamental importance of **integrity**, **emotional intelligence**, and the ability to inspire people to work towards something larger than themselves.

→ Two Models of Leadership: Transformational vs Transactional

→ The Myth of the Heroic Leader — and Why It Persists

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→ Power, Accountability, and the Authoritarian Trap

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Two Models of Leadership: Transformational vs Transactional

Leadership researchers have long distinguished between two broad models. **Transactional leadership** operates on a straightforward exchange: the leader offers rewards — pay, promotion, recognition — in return for performance and compliance. It is fundamentally a system of management rather than inspiration, and it can be highly effective in stable, predictable environments where tasks are well-defined and outcomes are measurable. Many large organisations rely heavily on transactional approaches, particularly in their operational departments.

Transformational leadership, by contrast, seeks to change not just what people do but how they think. A transformational leader articulates a compelling vision of the future, challenges followers to exceed their own expectations, and creates an environment in which people feel genuinely motivated — not because they fear punishment or seek reward, but because they believe in what they are doing. Research consistently shows that transformational leadership produces higher levels of creativity, commitment, and performance — particularly in complex, fast-changing environments where no rulebook exists.

■ TRANSFORMATIONAL LEADERSHIP

- Inspires through a compelling vision of the future, not just incentives.
- Develops people's potential — acts as a mentor as much as a manager.
- Creates **psychological safety** — people feel safe to speak up and take risks.
- Builds **resilience** in the organisation by investing in people, not just processes.
- Fosters commitment and emotional investment in shared goals.

■ TRANSACTIONAL LEADERSHIP

- Operates through clear reward and punishment systems.
- Focuses on performance measurement and compliance with agreed targets.
- Effective in stable environments with well-defined tasks and outcomes.
- Relies on **delegation** within a clear hierarchy of roles and responsibilities.
- Can be efficient but rarely inspires loyalty or deep motivation.

The Myth of the Heroic Leader — and Why It Persists

One of the most persistent and damaging myths in business culture is the idea of the heroic leader: a single, charismatic **visionary** whose genius single-handedly determines the fate of an organisation. This narrative has been reinforced by decades of business journalism, Hollywood films, and the biographical hagiographies of figures like Steve Jobs, Elon Musk, and Jack Welch. It is seductive, simple, and — in most cases — fundamentally misleading.

Research in organisational psychology consistently shows that the performance of even the most admired leaders is far more dependent on the quality of their teams, the conditions they inherit, and the timing of their tenure than on their individual brilliance. Leaders who cultivate strong teams, encourage dissenting voices, and distribute decision-making authority tend to produce more durable results than those who centralise all **strategic thinking** around themselves. The cult of the heroic leader does not just produce bad history — it produces bad strategy, because it discourages organisations from building the distributed capabilities they need to function without any single individual.

"The task of leadership is not to put greatness into people, but to elicit it — for the greatness is there already."

— John Buchan, Governor-General of Canada, 1935

Emotional Intelligence: The Quality That Predicts Success

When psychologist Daniel Goleman published his landmark research on **emotional intelligence** in the 1990s, it reframed the entire conversation about what makes leaders effective. Goleman argued that technical skills and IQ, while necessary, are insufficient on their own — and that the qualities that truly distinguish outstanding leaders are those associated with emotional intelligence: self-awareness, self-regulation, **empathy**, motivation, and social skill. Subsequent decades of research have broadly confirmed this view. Leaders who lack emotional intelligence tend to make poor decisions under pressure, fail to build trust with their teams, and create cultures that drive away talented people.

Empathy — the ability to understand and share the feelings of others — is particularly critical. It is not, as is sometimes assumed, about being soft or avoiding difficult decisions. A leader with genuine empathy understands how their decisions affect the people around them, communicates with honesty and compassion during difficult periods, and creates the **psychological safety** that allows teams to take the creative risks that drive innovation.

Research published in the Harvard Business Review found that empathy is the single strongest predictor of team performance and employee retention.

90%

of top performers score high in emotional intelligence

4x

more likely to retain staff: leaders high in empathy

70%

of employee engagement driven by their direct manager

58%

of job performance in all types of roles explained by EQ

Power, Accountability, and the Authoritarian Trap

One of the most well-documented phenomena in leadership research is the corrupting effect of power on behaviour. Studies show that people who acquire positional authority often become less empathetic, less collaborative, and more prone to overconfidence in their own judgement — precisely the opposite of the qualities that earned them their position. The **authoritarian** leader — one who centralises decision-making, discourages dissent, and equates **accountability** with blame rather than learning — tends to produce short-term compliance but long-term disengagement, talent loss, and institutional fragility.

The most destructive form of **authoritarian** leadership in modern organisations is **micromanagement** — the tendency to control every detail of a team's work, failing to trust people to perform without constant supervision. Micromanagement communicates a fundamental lack of confidence in one's team and is consistently cited by employees as one of the primary reasons they choose to resign. It also imposes a severe bottleneck on organisational performance: no leader, however talented, can make better decisions than a well-supported, empowered team operating with clear strategic direction.

■ CASE STUDY — Microsoft's Cultural Transformation Under Satya Nadella

When Satya Nadella became CEO of Microsoft in 2014, the company was widely regarded as a dysfunctional, internally competitive organisation — one in which business units fought each other for resources and executives were reluctant to share ideas for fear of losing credit. Nadella's transformation of Microsoft is now studied in business schools worldwide, not because he launched spectacular new products, but because of what he changed internally. He dismantled the 'stack ranking' performance system that had pitted employees against each other, replaced a culture of knowing with a culture of learning, and modelled the **emotional intelligence** and **psychological safety** that he wanted to see across the organisation. Under his leadership, Microsoft's market capitalisation grew from approximately \$300 billion in 2014 to over \$3 trillion by 2024 — the most dramatic corporate turnaround of the modern era, driven not by a single **visionary** idea but by a fundamental change in how people were led.

Authentic Leadership, Succession Planning, and Legacy

In recent years, the concept of **authentic leadership** has gained significant traction in both academic and practitioner circles. Authentic leaders are those who lead in accordance with their own values and beliefs — who are transparent about their limitations, consistent in their behaviour regardless of who is watching, and genuinely committed to the wellbeing of the people they lead. Authenticity, in this context, does not mean sharing every personal detail or abandoning professional boundaries — it means that there is no significant gap between the public persona and the private person.

One of the most neglected responsibilities of senior leaders is **succession planning** — the deliberate process of identifying and developing future leaders within the organisation. Many leaders, particularly those who are highly effective, create an implicit dependency: the organisation becomes so reliant on their specific vision, relationships, and decision-making that it struggles to function effectively in their absence. A leader who fails to

develop their successors has, in a real sense, failed one of the most important tests of their role.

Perhaps the deepest question in the study of leadership is the question of **legacy** — what an organisation, a team, or a culture looks like after the leader has gone. The most admired leaders in history are not necessarily those who achieved the most during their tenure, but those who left their organisations stronger, more capable, and more resilient than they found them. **Strategic thinking** that extends beyond one's own time in post, combined with the **ethical leadership** to build institutions rather than monuments to oneself, is the rarest — and arguably the most important — quality of all.

ACTIVITIES

1 Read the article and decide if these statements are True (T), False (F), or Not Given (NG).

- 1 Transactional leadership is more effective than transformational leadership in all contexts.
- 2 Goleman's research suggested that emotional intelligence is more important than IQ for leadership.
- 3 Microsoft's market value fell significantly under Satya Nadella's leadership.
- 4 Micromanagement communicates a lack of trust in the team.
- 5 Authentic leaders always share personal details with their colleagues.
- 6 Succession planning is described as one of the most neglected leadership responsibilities.

2 Match the highlighted words and phrases in the article to their meanings.

- 1 a leadership approach that inspires people through vision and personal development
- 2 the ability to understand and share the feelings of others
- 3 a leadership style that uses reward and punishment to manage performance
- 4 the tendency to control every detail of a team's work without trusting them
- 5 a general feeling of safety in which people feel comfortable speaking up and taking risks
- 6 the process of identifying and preparing future leaders within an organisation

3 Read the article again and answer these questions in full sentences.

- 1 Why does the article argue that the 'heroic leader' myth is damaging?
- 2 What five qualities does Goleman associate with emotional intelligence?
- 3 How did Satya Nadella change Microsoft's culture — and what was the result?
- 4 What does the article mean by 'authentic leadership'?
- 5 How does the article define a leader's true legacy?

4 Discussion: The article argues that the best leaders are those who leave their organisations stronger than they found them. Write a paragraph (80–100 words) giving your view.

Is building something that outlasts you more important than achieving results during your tenure?
Think of a leader — from business, politics, sport, or your own life — who fits this description.

■ TALKING POINTS

Can great leadership be taught — or is it something people are born with?

Think of a leader you admire. What qualities do they have that others lack?

Is it possible to be both authoritarian and effective? Can you think of any examples?

Would you rather work for a transformational or transactional leader? What are the trade-offs?